Philip D. Murphy, Governor
Tahesha L. Way, Lieutenant Governor
Francis K. O'Connor, Commissioner
Kris Kolluri, President & CEO

TWO GATEWAY
283-299 MARKET STREET
NEWARK, NJ 07102-5310
973-491-7000

TRANSIT

NOTICE OF BOARD MEETINGS

NEW JERSEY TRANSIT CORPORATION
NJ TRANSIT RAIL OPERATIONS, INC.
NJ TRANSIT BUS OPERATIONS, INC.
NJ TRANSIT MERCER, INC.
NJ TRANSIT MORRIS, INC.

TO WHOM IT MAY CONCERN:

This is notice that the meetings of the Board of Directors of the New Jersey Transit Corporation, NJ TRANSIT Rail Operations, Inc., NJ TRANSIT Bus Operations, Inc., NJ TRANSIT Mercer, Inc., and NJ TRANSIT Morris, Inc. will be held at **NJ TRANSIT Headquarters Building, Two Gateway, 283-299 Market Street, Newark, NJ** on **WEDNESDAY, NOVEMBER 12, 2025 BEGINNING at 6:00 P.M.**

MEETING ATTENDEES ARE REQUIRED TO OBTAIN A GUEST PASS FROM THE 2 GATEWAY SECURITY DESK, GO THROUGH POLICE SECURITY SCREENINGS, AND THEN SIGN IN FOR THE MEETING WITH STAFF AT THE RECEPTION TABLE OUTSIDE THE BOARD ROOM. PLEASE ALLOW EXTRA TIME.

PUBLIC AUDIENCE: Members of the public who cannot participate in person are encouraged to watch the meetings on the corporation's website in real time at www.njtransit.com/board. The meetings will also be video recorded, archived, and made available to the public for subsequent viewing on the corporation's website.

PUBLIC COMMENTS

1. **PUBLIC COMMENT REGISTRATION:**

   Members of the public are encouraged to **pre-register in advance to provide public comments**. Members of the public who wish to provide public comments should use the "REGISTER/SUBMIT PUBLIC COMMENTS FOR AN UPCOMING MEETING" form on NJ TRANSIT's website at: https://njtransit.my.salesforce-sites.com/customerservice/site_app#/board_meeting_registration.

   THE DEADLINE TO PRE-REGISTER IS 5:00 P.M. ON TUESDAY, NOVEMBER 11, 2025. We recommend using Microsoft Edge, Google Chrome, Firefox, or Safari for the best experience.

2. **PUBLIC COMMENT PROCEDURES:**

   Each speaker will have three (3) minutes to provide comments.

   IN PERSON: Speakers who pre-register and attend the meetings in-person will be given priority and have their comments taken first. In-person speakers who did not pre-register in advance will then be taken on a first-come-first-serve basis.

   TELEPHONE: Speakers who pre-register and participate by telephone will follow the in-person speakers. Telephone participants who did not pre-register in advance, and queue to speak, will have their comments taken on a first-come-first-serve basis thereafter.

   The toll-free dial-in phone number is 1-800-346-7359 and the conference entry code is 701939. Speakers participating by telephone may begin calling in at 9:30 A.M. to check in with the call proctor. Once checked in, participants can press *1 to enter the queue to provide public comments. There will be a brief tone to indicate you have successfully entered the queue. Anyone joining the meeting will be on a “Music Hold” prior to the meeting.

The **next meetings are scheduled** to be held on **Wednesday, December 10, 2025** beginning at **10:00 a.m.** in the Board Room at the NJ TRANSIT Headquarters Building, Two Gateway, 283-299 Market Street, Newark, NJ.

This notice is being provided in compliance with the Open Public Meetings Act, P.L. 1975, c.231 and the NJ TRANSIT reform legislation, P.L. 2018, c.162.

Meghan Clark Umukoro

Meghan Clark Umukoro
Board Secretary

November 6, 2025

NEW JERSEY TRANSIT CORPORATION
NJ TRANSIT BUS OPERATIONS, INC.
NJ TRANSIT RAIL OPERATIONS, INC.
NJ TRANSIT MERCER, INC.
NJ TRANSIT MORRIS, INC.
BOARD OF DIRECTORS' MEETINGS

NOVEMBER 12, 2025

FINAL AGENDA

- **CALL TO ORDER**
- **APPROVAL OF MINUTES OF PREVIOUS MEETINGS**
- **ADVISORY COMMITTEE REPORT**
- **PUBLIC COMMENTS**
- **PRESIDENT & CEO'S MONTHLY REPORT**
- **BOARD COMMITTEE REPORTS**

ACTION ITEMS

2511-49 **PROVISION OF ADDITIONAL FUNDING AUTHORIZATION, AND EXECUTION OF A 10-MONTH EXTENSION FOR CONTRACT 19-002 FOR THE PROVISION OF ACCESS LINK SERVICE IN REGION 2 (BURLINGTON, CAMDEN, CUMBERLAND, GLOUCESTER, AND SALEM COUNTIES)** – Authorization to extend NJ TRANSIT Contract No. 19-002 with Easton Coach Company of Easton, Pennsylvania, and take all other actions necessary to implement and administer the agreement for the continued operation of Access Link Region 2 (Burlington, Camden, Cumberland, Gloucester, and Salem Counties) service for an additional 10 month period, from March 1, 2026 through January 9, 2027, at a cost not to exceed $10,820,841, plus five percent for contingencies, for a total authorization of $11,361,883, subject to the availability of funds, and Board approval of NJ TRANSIT's operating budget.

2511-50 **CONTRACTING OUT – WARREN COUNTY LOCAL BUS SERVICE** – Authorization to exercise Option Period One of NJ TRANSIT Contract No. 22-043 with Delaware River Coach Lines, Inc., of Bethlehem, Pennsylvania, to operate the Warren County Local Bus Service for a 24-month contract period, January 17, 2026 through January 14, 2028, at a cost not to exceed $1,561,766.01, plus five percent for contingencies, for a total contract authorization of $1,639,854.31, subject to the availability of funds and Board approval of NJ TRANSIT's Operating Budget.

2511-51 **RIVER LINE CREATION OF OPERATING SUBSIDIARY: NJ TRANSIT SOUTHERN LIGHT RAIL, INC.** – Authorization to create as a subsidiary of NJ TRANSIT, a body corporate and politic to be known as NJ TRANSIT Southern Light Rail, Inc., for the purpose of establishing, acquiring, effectuating,

maintaining, developing, promoting, operating, and improving the River LINE and other light rail service in surrounding communities in Southern New Jersey.

Authorization to take all actions necessary to effectuate the creation of NJ TRANSIT Southern Light Rail, Inc.

Authorization to adopt the Bylaws for NJ TRANSIT Southern Light Rail, Inc.

Authorization that the Board of Directors of NJ TRANSIT Southern Light Rail, Inc., shall be comprised of the members of the Board of NJ TRANSIT, which members shall serve as long as they are members of the NJ TRANSIT Board.

Authorization that the Board of Directors concur with the President & CEO's appointment of Michael P. Kilcoyne to the position of Senior Vice President and General Manager of NJ TRANSIT Southern Light Rail, Inc.

Authorization to act on behalf of NJ TRANSIT Southern Light Rail, Inc., in negotiating and executing labor agreements with the Brotherhood of Railroad Signalmen, International Association of Sheet Metal, Air, Rail & Transportation Works, and American Train Dispatchers Association (existing unions) as deemed appropriate by the Chair or President & CEO.

2511-52 MULTILEVEL OVERHAUL AND MODERNIZATION PROJECT (429 VEHICLES) – Authorization to enter into and execute a contract with a qualified rail vehicle overhaul contractor for the Multilevel Overhaul and Modernization Project, in an amount not to exceed $917,058,512.41, plus 10 percent for contingencies, subject to the availability of funds.

Authorization to take all actions necessary or desirable to effectuate the purposes of this resolution, including the negotiation and execution of all agreements, documents, and amendments consistent with the intent of this authorization.

2511-53 NEWARK LIGHT RAIL STATE OF GOOD REPAIR: TRACK AND RIGHT-OF-WAY IMPROVEMENTS CONSTRUCTION DOCUMENT PREPARATION AND SUPPORT SERVICES – Authorization to execute Change Order No. 2 to NJ TRANSIT Contract No. 15-029R with AECOM of Philadelphia, Pennsylvania, for construction document preparation and support services of the Newark Light Rail Project, in the amount of $535,000.00, plus five percent for contingencies, subject to the availability of funds.

CONSENT CALENDAR

2511-54 RECOMMENDATION TO APPROVE THE AUDITED FINANCIAL STATEMENTS FOR THE FISCAL YEAR ENDED JUNE 30, 2025 – Authorization to accept and approve NJ TRANSIT's audited financial statements for the fiscal year ended June 30, 2025.

2511-55 REGULATION: READOPTION WITH AMENDMENTS OF N.J.A.C. 16:72 – NJ TRANSIT PROCUREMENT POLICIES AND PROCEDURES – Authorization to take all actions necessary to adopt N.J.A.C. 16:72 et seq., consistent with this Board item and corresponding Exhibits, put the regulation in the appropriate format, and take all other actions necessary to effectuate the final adoption and promulgation of NJ TRANSIT's Procurement Policies and Procedures.

- **EXECUTIVE SESSION AUTHORIZATION**
- **ADJOURNMENT**

APPROVAL OF MINUTES

WHEREAS, the Bylaws provide that the minutes of actions taken at meetings of the New Jersey Transit Corporation, NJ TRANSIT Rail Operations, Inc., NJ TRANSIT Bus Operations, Inc., NJ TRANSIT Mercer, Inc., and NJ TRANSIT Morris, Inc. Board of Directors be approved by the Board; and

WHEREAS, pursuant to Section 4(f) of the New Jersey Public Transportation Act of 1979, the minutes of actions taken at the October 9, 2025 Board Meetings of the New Jersey Transit Corporation, NJ TRANSIT Bus Operations, Inc., NJ TRANSIT Rail Operations, Inc., NJ TRANSIT Mercer, Inc., and NJ TRANSIT Morris, Inc. were forwarded to the Governor on October 14, 2025;

NOW, THEREFORE, BE IT RESOLVED that the minutes of actions taken at the October 9, 2025 Board Meetings of the New Jersey Transit Corporation, NJ TRANSIT Rail Operations, Inc., NJ TRANSIT Bus Operations, Inc., NJ TRANSIT Mercer, Inc., and NJ TRANSIT Morris, Inc. Board of Directors' meetings are hereby approved.

PRESIDENT & CEO'S REPORT

THIS REPORT WILL BE PRESENTED SEPARATELY

ACTION ITEMS

ITEM 2511-49: PROVISION OF ADDITIONAL FUNDING AUTHORIZATION, AND EXECUTION OF A 10-MONTH EXTENSION FOR CONTRACT 19-002 FOR THE PROVISION OF ACCESS LINK SERVICE IN REGION 2 (BURLINGTON, CAMDEN, CUMBERLAND, GLOUCESTER, AND SALEM COUNTIES)

WHEREAS, in July 1990, the Americans with Disabilities Act was signed into law requiring public entities operating fixed route transportation systems to provide paratransit services for individuals with disabilities; and

WHEREAS, a Request for Proposal (RFP No. 19-002) was issued in 2019 to seek competitive proposals from paratransit carriers to provide these services; and

WHEREAS, upon completion of the competitive procurement process, Board approval was provided for Contract 19-002 with Easton Coach Company of Easton, Pennsylvania, to provide Access Link service for a 32-month base contract period, and two option periods expiring February 28, 2026; and

WHEREAS, providing uninterrupted Access Link service is a requirement of the federal government; and

WHEREAS, a Request for Proposal (RFP No. 0000109) was initiated on August 1, 2024, and advertised on March 11, 2025 to seek competitive proposals from paratransit carriers to provide Access Link service in Region 2; and

WHEREAS, proposals were due on May 28, 2025, but during the RFP process, it was determined the contract contained language that had the potential to disrupt a smooth transition to a new service operator, should one be selected during the procurement process; and

WHEREAS, it was determined by Procurement that cancelling RFP No. 0000109 would be prudent and would allow NJ TRANSIT to make the necessary edits to the contract requirements. Consequently, Procurement cancelled RFP No. 0000109 on May 29, 2025, resulting in additional time needed to readvertise the revised scope of work, and conduct a full RFP process; and

WHEREAS, staff is requesting a 10-month extension to the existing agreement with Easton Coach Company of Easton, Pennsylvania, from March 1, 2026 through January 9, 2027. The requested extension is necessary to allow for a new RFP process to take place; and

WHEREAS, a new Request for Proposal (RFP No. 0000195) has been initiated to seek competitive proposals from paratransit carriers to provide service in Region 2. It is anticipated that this RFP will be advertised during the fall of 2025, and will be awarded during the Spring of 2026;

NOW, THEREFORE, BE IT RESOLVED that the Chair or President & CEO is authorized to extend NJ TRANSIT Contract No. 19-002 with Easton Coach Company of Easton, Pennsylvania, and take all other actions necessary to implement and administer the agreement for the continued operation of Access Link Region 2 (Burlington, Camden, Cumberland, Gloucester, and Salem Counties) service for an additional 10 month period, from March 1, 2026 through January 9, 2027, at a cost not to exceed $10,820,841, plus five percent for contingencies, for a total authorization of $11,361,883, subject to the availability of funds, and Board approval of NJ TRANSIT's operating budget.

ITEM 2511-50: CONTRACTING OUT – WARREN COUNTY LOCAL BUS SERVICE

WHEREAS, NJ TRANSIT is empowered, pursuant to the New Jersey Public Transportation Act of 1979 (N.J.S.A. 24:25-1 et seq.), to contract for motor bus regular route services operated by carriers in the State of New Jersey; and

WHEREAS, staff have determined it is appropriate to provide fixed-route bus service in the Warren County area; and

WHEREAS, Delaware River Coach Lines is the incumbent provider currently performing the service in accordance with contractual obligations; and

WHEREAS, the contract includes an option period that may be exercised at the discretion of NJ TRANSIT; and

WHEREAS, exercising the option period with the incumbent carrier will ensure continuity of service without interruption to the riding public; and

WHEREAS, the cost for this option period was included in the initial submission during the procurement RFP process (RFP 22-043) and was found reasonable and in the best interest of NJ TRANSIT; and

WHEREAS, Delaware River Coach Lines have demonstrated satisfactory performance, compliance with safety and operational standards, and the capacity to continue service delivery;

NOW, THEREFORE, BE IT RESOLVED that the Chair or President & CEO is authorized to exercise Option Period One of NJ TRANSIT Contract No. 22-043 with Delaware River Coach Lines, Inc., of Bethlehem, Pennsylvania, to operate the Warren County Local Bus Service for a 24-month contract period, January 17, 2026 through January 14, 2028, at a cost not to exceed $1,561,766.01, plus five percent for contingencies, for a total contract authorization of $1,639,854.31, subject to the availability of funds and Board approval of NJ TRANSIT's Operating Budget.

ITEM 2511-51: RIVER LINE CREATION OF OPERATING SUBSIDIARY: NJ TRANSIT SOUTHERN LIGHT RAIL, INC.

WHEREAS, on September 3, 2025, NJ TRANSIT issued a Notice of Termination for Convenience to Alstom Transportation, Inc. (Alstom), terminating the Operations and Maintenance Agreement for the River LINE light rail system due to performance concerns; and

WHEREAS, NJ TRANSIT and Alstom have mutually agreed to transfer the operations of the River LINE to NJ TRANSIT effective February 14, 2026; and

WHEREAS, NJ TRANSIT has determined that the most beneficial, effective and efficient manner with which to continue operating the River LINE effective February 14, 2026, while preserving NJ TRANSIT's ability to solicit bids from private entities to operate the service in the future, is through the formation of a separate operating subsidiary of NJ TRANSIT; and

WHEREAS, the new operating subsidiary of NJ TRANSIT must commence hiring expeditiously to meet the transition date of February 14, 2026; and

WHEREAS, NJ TRANSIT has determined that in order to provide continuity of service for the riding public, it will likely offer employment to a substantial majority of the unionized employees of Alstom who are currently represented by the Brotherhood of Railroad Signalmen, International Association of Sheet Metal, Air, Rail & Transportation Works, and American Train Dispatchers Association under existing collective bargaining agreements;

NOW, THEREFORE, BE IT RESOLVED, there is hereby created as a subsidiary of NJ TRANSIT, a body corporate and politic to be known as NJ TRANSIT Southern Light Rail, Inc., for the purpose of establishing, acquiring, effectuating, maintaining, developing, promoting, operating and improving the River LINE and other light rail service in surrounding communities in Southern New Jersey; and

BE IT FURTHER RESOLVED, the Chair or President & CEO is authorized to take all actions necessary to effectuate the creation of NJ TRANSIT Southern Light Rail, Inc.; and

BE IT FURTHER RESOLVED, the attached Bylaws are hereby adopted as the Bylaws for NJ TRANSIT Southern Light Rail, Inc.; and

BE IT FURTHER RESOLVED, the Board of Directors of NJ TRANSIT Southern Light Rail, Inc., shall be comprised of the members of the Board of NJ TRANSIT, which members shall serve as long as they are members of the NJ TRANSIT Board; and

BE IT FURTHER RESOLVED, the Board of Directors concurs with the President & CEO's appointment of Michael P. Kilcoyne to the position of Senior Vice President and General Manager of NJ TRANSIT Southern Light Rail, Inc.; and

BE IT FURTHER RESOLVED, the Chair or President & CEO is authorized to act on behalf of NJ TRANSIT Southern Light Rail, Inc., in negotiating and executing labor agreements with the Brotherhood of Railroad Signalmen, International Association of Sheet Metal, Air, Rail & Transportation Works, and American Train Dispatchers Association (existing unions) as deemed appropriate by the Chair or President & CEO.

EXHIBIT A

BY-LAWS

OF

NJ TRANSIT SOUTHERN LIGHT RAIL, INC.

A

SUBSIDIARY OF

NEW JERSEY TRANSIT CORPORATION

INDEX OF ARTICLES/SECTIONS

			PAGE
PREAMBLE			1
ARTICLE I.	NJ TRANSIT SOUTHERN LIGHT RAIL, INC.		1
	SECTION 1.	OFFICES	1
	SECTION 2.	SEAL	1
ARTICLE II.	BOARD OF DIRECTORS		1
	SECTION 1.	GENERAL POWERS	1
	SECTION 2.	NUMBER, TENURE AND QUALIFICATIONS	1
	SECTION 3.	REGULAR MEETINGS	1
	SECTION 4.	ANNUAL MEETING	2
	SECTION 5.	SPECIAL MEETINGS	2
	SECTION 6.	EMERGENCY MEETINGS	2
	SECTION 7.	QUORUM	2
	SECTION 8.	MANNER OF ACTING	3
	SECTION 9.	MINUTES	3
	SECTION 10.	VACANCIES	3
	SECTION 11.	EXPENSES	3
ARTICLE III.	OFFICERS		3
	SECTION 1.	NUMBER	3
	SECTION 2.	APPOINTMENTS AND TERMS OF OFFICE	3
ARTICLE IV.	DUTIES OF OFFICERS		4
	SECTION 1.	CHAIRPERSON	4
	SECTION 2.	VICE CHAIRPERSON	4
	SECTION 3.	PRESIDENT	4
	SECTION 4.	SENIOR VICE PRESIDENT AND GENERAL MANAGER	4
	SECTION 5.	SECRETARY	4
	SECTION 6.	TREASURER/CHIEF FINANCIAL OFFICER	5
	SECTION 7.	ASSISTANT SECRETARIES	5
	SECTION 8.	ASSISTANT TREASURERS	5

ARTICLE V. ORDER OF BUSINESS 5

ARTICLE VI. ADMINISTRATIVE POWERS 5
SECTION 1. DELEGATION 6
SECTION 2. PERSONNEL 6
SECTION 3. CONTRACTING POWERS 6
SECTION 4. MINOR SERVICE AND FARE MODIFICATIONS 8
SECTION 5. RECORD KEEPING 9
SECTION 6. LEASES, PERMITS AND LICENSES 9
SECTION 7. INTERVENTION BEFORE LEGISLATIVE AND REGULATORY BODIES 10
SECTION 8. ACCEPTANCE OF PERFORMANCE 10
SECTION 9. LEGAL ADVICE AND LITIGATION 11
SECTION 10. TRANSFER OF FUNDS 11
SECTION 11. SCOPE OF ADMINISTRATIVE POWERS 11

ARTICLE VII. BUDGET 11

ARTICLE VIII. BANKING, RETIREMENT PLANS AND OPERATING INVESTMENT CASH 11

ARTICLE IX. AMENDMENTS AND SUSPENSIONS 12

PREAMBLE

This body corporate and politic a wholly owned subsidiary of the New Jersey Transit Corporation (NJ TRANSIT), established pursuant to the "New Jersey Public Transportation Act of 1979", P.L. 1979, c. 150, as subsequently supplemented and amended, (the "Act"), is named NJ TRANSIT Southern Light Rail, Inc., and is authorized to make and alter such By-Laws for the conduct of its affairs and business as it may deem appropriate. The By-Laws of NJ TRANSIT Southern Light Rail, Inc. follow:

ARTICLE I. NJ TRANSIT SOUTHERN LIGHT RAIL, INC.

SECTION 1. OFFICES. The principal offices of NJ TRANSIT Southern Light Rail, Inc. shall be located at a location to be determined. NJ TRANSIT Southern Light Rail, Inc. may have offices at such other places as the business of NJ TRANSIT Southern Light Rail, Inc. may require or make desirable as determined by the Board of Directors (the "Board").

SECTION 2. SEAL. NJ TRANSIT Southern Light Rail, Inc. shall have a seal which shall bear the words "NJ TRANSIT Southern Light Rail, Inc.", or other language similar thereto, and shall be of such design as determined by the Board.

ARTICLE II. BOARD OF DIRECTORS

SECTION 1. GENERAL POWERS. The property, affairs, and business of NJ TRANSIT Southern Light Rail, Inc. shall be directed by the Board to the extent of powers and authority allocated to the Board by the Act, and as may be delegated by the Board in these Bylaws.[1]

SECTION 2. NUMBER, TENURE AND QUALIFICATIONS. The Board shall be composed of members of the Board of NJ TRANSIT, which members shall serve as long as they are members of the NJ TRANSIT Board. [2] No Board member shall serve as the Corporation's Executive Director/President and CEO, Chief Financial Officer, or hold any senior management position while serving as a member of the Board.[3] No voting Board member may be employed by the corporation.

[1] N.J.S.A. 27:25-5.
[2] N.J.S.A. 27:25-4.b.
[3] N.J.S.A. 27:25-4.1.d.

SECTION 3. REGULAR MEETINGS. The Board shall hold a minimum of 10 public board meetings per year[4] and one-half of the total number of meetings shall be held in the evening.[5] Unless changed by the Board, regular monthly meetings of the Board shall be held at NJ TRANSIT corporate headquarters at a time and place to be established, concurrent with the meeting of the NJ TRANSIT Board. As approved by the Chairperson, the Board shall be permitted to perform any of the following by means of communication or other electronic equipment: conduct a public meeting and any public business, cause a meeting to be open to the public, vote or receive public comment. The June meeting shall serve as the annual meeting as provided under Section 4 of this Article II. The Secretary shall give adequate notice of all meetings and any changes to the meetings, in accordance with "Senator Byron M. Baer Open Public Meetings Act"[6] and the Act.[7]

SECTION 4. ANNUAL MEETINGS. An annual meeting shall be held at which the Board shall adopt the annual notice of meetings in accordance with the "Senator Byron M. Baer Open Public Meetings Act." [8] and the Act. [9]

SECTION 5. SPECIAL MEETINGS. Special Meetings of the Board may be called at any time by the Chairperson. The Chairperson may fix a time and place to hold any special meeting. The Secretary shall be informed of the call of such special meetings sufficiently in advance to permit the Secretary to give adequate notice pursuant to the "Senator Byron M. Baer Open Public Meetings Act." [10] and the Act.[11]

SECTION 6. EMERGENCY MEETINGS. Emergency meetings may be called by the Chairperson at any time in accordance with the "Senator Byron M. Baer Open Public Meetings Act." [12] and the Act.

SECTION 7. QUORUM. A majority of sworn voting members of the Board shall constitute a quorum.[13] If a quorum is not present at any meeting of the Board, a majority of the voting Board members present may adjourn the meeting to another time and place. Notice of any such adjourned meeting shall be given

[4] N.J.S.A. 27:25-4.g.(2).
[5] N.J.S.A. 27:25-4.g.(1).
[6] N.J.S.A. 10:4-6 et seq.
[7] N.J.S.A. 27:25- 4.g.(1)
[8] N.J.S.A. 10:4-6 et seq.
[9] N.J.S.A. 27:25-4.g.(1).
[10] N.J.S.A. 10:4-6 et seq.
[11] N.J.S.A. 27:25-4.g.(1).
[12] N.J.S.A. 10:4-6 et seq.
[13] N.J.S.A. 27:25-4.e .

in accordance with the requirements of the "Senator Byron M. Baer Open Public Meetings Act." [14] and the Act.[15]

SECTION 8. MANNER OF ACTING. The number of members present shall be recorded by the Secretary on any question presented. Actions may be taken and motions and resolutions adopted by the Board upon the affirmative vote of a majority of the appointed members who are authorized to vote.

SECTION 9. MINUTES. A true copy of the minutes of every meeting of the Board shall be delivered forthwith, by and under the certification of the Secretary, to the Governor pursuant to the Act. [16]

SECTION 10. VACANCIES. No vacancy in the membership of the Board shall impair the right of a quorum to exercise all the rights and perform all the duties of the Board.

SECTION 11. EXPENSES. Board members, other than those serving ex officio, shall serve without compensation,[17] but each member of the Board shall be reimbursed for actual expenses necessarily incurred in the performance of NJ TRANSIT Southern Light Rail, Inc. duties unless otherwise reimbursed by NJ TRANSIT.

ARTICLE III. OFFICERS

SECTION 1. NUMBER. The officers of NJ TRANSIT Southern Light Rail, Inc. shall be a Chairperson, Vice Chairperson, President, Senior Vice President and General Manager, Treasurer, and Secretary who shall be selected in accordance with Section 2 of this Article III. One or more Assistant Treasurers and Assistant Secretaries may be appointed in accordance with said Section 2. The Board may also appoint such other officers as it shall deem necessary who shall hold their offices for such terms as shall be determined by the Board and who shall exercise such powers and perform such duties as shall be determined from time to time by the Board.

SECTION 2. APPOINTMENTS AND TERMS OF OFFICE. The Chairperson, Vice Chairperson and Secretary of NJ TRANSIT shall serve, ex officio, as Chairperson, Vice Chairperson and Secretary of NJ

[14] N.J.S.A. 10:4-6 et seq.)
[15] N.J.S.A. 27:25-4.g.(1).
[16] N.J.S.A. 27:25-4.f.
[17] N.J.S.A. 27:25-4.c.

TRANSIT Southern Light Rail, Inc.. The Executive Director/President & CEO of NJ TRANSIT shall serve, ex officio, as President. The Senior Vice President and General Manager shall be appointed by the President with concurrence by the Board of Directors. The Treasurer shall be appointed by the President and serve at his/her discretion.

ARTICLE IV. DUTIES OF OFFICERS

SECTION 1. CHAIRPERSON. The Chairperson, or their department designee in the absence of the Vice Chair, shall preside at all meetings of NJ TRANSIT Southern Light Rail, Inc. and shall have general control over the business and affairs of NJ TRANSIT Southern Light Rail, Inc. subject to the direction of the NJ TRANSIT Southern Light Rail, Inc. Board.

SECTION 2. VICE CHAIRPERSON. The Vice Chairperson shall perform the duties of the Chairperson in the event that the Chairperson is unable to perform such duties by reason of illness, disability or absence, or when requested to perform such duties by the Chairperson. [18] The Vice Chairperson shall perform such other duties as may from time to time be assigned by the Chairperson of the Board. In the event the Chairperson, Vice Chairperson, or the Chairperson's designee, is not available, the Chairperson may designate another member of the Board to perform duties of the Chairperson.

SECTION 3. PRESIDENT. The President shall have all the power and authority delegated to him/her in accordance with these Bylaws, actions of the Board and shall, subject to the provisions of these Bylaws, be generally in charge of the business affairs of NJ TRANSIT Southern Light Rail, Inc.

SECTION 4. SENIOR VICE PRESIDENT AND GENERAL MANAGER. The Senior Vice President and General Manager shall have all the power and authority delegated to him/her by the President in accordance with the Bylaws and actions of the Board.

SECTION 5. SECRETARY. The Secretary shall keep the official NJ TRANSIT Southern Light Rail, Inc. minutes of the actions taken at the Board meetings of NJ TRANSIT Southern Light Rail, Inc. and transmit the minutes of the Board to the Governor on behalf of NJ TRANSIT Southern Light Rail, Inc.. The Secretary shall keep the seal of NJ TRANSIT Southern Light Rail, Inc., shall certify, when required to, copies of documents, and shall, from time to time, perform such other duties as shall be assigned to him/her

[18] N.J.S.A. 27:25-4.b.

by the Board or President. In the event an Assistant Secretary is not appointed, the Secretary may designate a person to perform his/her responsibilities in his/her absence. The Secretary may adopt a facsimile signature to be used in the performance of assigned responsibilities.

SECTION 6. TREASURER/CHIEF FINANCIAL OFFICER. The Treasurer/Chief Financial Officer shall have custody of all funds of NJ TRANSIT Southern Light Rail, Inc. They shall perform, in general, all the duties incident to the office of Treasurer/Chief Financial Officer, and such other duties as may from time to time be assigned to him/her by the Board or President. In the event an Assistant Treasurer is not appointed, the Treasurer/Chief Financial Officer may designate a person to perform his/her functions in his/her absence. The Treasurer/Chief Financial Officer may adopt a facsimile signature to be used in the performance of assigned responsibilities.

SECTION 7. ASSISTANT SECRETARIES. If appointed, the Assistant Secretaries shall have such powers and shall perform such duties as may be assigned by the Secretary. In the absence of the Secretary, the Assistant Secretaries, in the order designated by the Secretary, shall have the powers and perform the duties of the Secretary.

SECTION 8. ASSISTANT TREASURERS. If appointed, the Assistant Treasurers shall have such powers and shall perform such duties as may be assigned by the Treasurer/Chief Financial Officer. In the absence of the Treasurer/Chief Financial Officer, the Assistant Treasurers, in the order designated by the Treasurer/Chief Financial Officer, shall have the powers and perform the duties of the Treasurer/Chief Financial Officer.

ARTICLE V. ORDER OF BUSINESS

The order of business at regular monthly meetings of the Board shall be:

a. Roll Call

b. Approval of the minutes of the previous meeting

c. Report of Executive Director/President of NJ TRANSIT

d. New Business

ARTICLE VI. ADMINISTRATIVE POWERS

Unless otherwise directed by the Board, and subject to the limitations, if any, of the budget adopted by the Board, the President shall have the following administrative powers which shall be in addition to any other powers conferred upon him/her by any other provision of these Bylaws.

SECTION 1. DELEGATION. The President may delegate, in whole or in part, any power, authority or discretion, conferred upon him/her by any of the provisions by these Bylaws or by any resolution heretofore or hereafter adopted by the Board, to any other officer or member of the staff, provided however, that any resolution adopted by the Board may preclude or otherwise limit any such delegation. [19] To the extent any such delegation is made, it shall be in writing and delivered to the Secretary, who shall maintain a permanent record of all such delegations of authority and power.

SECTION 2. PERSONNEL. The employment of NJ TRANSIT Southern Light Rail, Inc.'s non-agreement personnel is "at-will" in all cases. The employment of a non-agreement employee is not for any specified duration, is not governed by any oral or written contract, and may be terminated by either the employee or NJ TRANSIT Southern Light Rail, Inc., at any time, with or without cause or notice. The President may:

a. Create, determine, and prescribe the duties of new and existing positions and qualifications for appointments made thereto;
b. Make appointments to NJ TRANSIT Southern Light Rail, Inc. staff, except for those positions specified by statute, these Bylaws, or any other applicable authority;
c. Make promotions and demotions within the staff, except for those positions specified by statute, these Bylaws, or any other applicable authority;
d. Terminate appointments to the staff, except for those positions specified by statute, these Bylaws, or any other applicable authority;
e. Grant or authorize the granting of vacations, sick leave, other leaves of absence and to take all other necessary actions affecting personnel;
f. Approve administer and maintain salaries, salary ranges, adjustments thereto, merit increases and employee benefit programs; and
g. Prepare, approve, and enact additions, deletions, and modifications to Personnel Policies and Procedures.

[19] N.J.S.A. 27:25-5.q.

SECTION 3. CONTRACTING POWERS. The President shall, subject to provisions of the Act, have the following powers, the exercise of which shall be discretionary and not mandatory:

a. To authorize or arrange for expenditures pursuant to contracts or purchase orders, upon such terms and conditions as may be deemed proper, which expenditures are authorized in the operating budget, any appropriations act and or the capital program and are:

1. Purchases and Acquisitions which are awarded pursuant to the following dollar thresholds:

(a) $12,000,000 if such contracts or purchase orders are awarded pursuant to competitive bidding procedures, including publicly advertised contracts, Cooperative Purchasing, General Services Administration (GSA) and State Contracts;

i. Dollar thresholds shall not apply to the purchase of fuel or propulsion (e.g. electricity) necessary for the operation of rolling stock, revenue and non-revenue vehicles, which support, maintain, or secure the public transportation system.

(b) $3,125,000 if such contracts or purchase orders are awarded pursuant to Board-approved competitive procurement regulation or policies other than competitive bidding procedures covered under (a);

(c) $1,000,000 for any sole-source procurement or any other such Procurement by Exception (PBE) of goods or services which may under the Act be procured without a competitive process;

(d) Any procurement pursuant to Section 2 of N.J.S.A.52:34-7 if such expenditures are for the construction, alteration, or repair of any building or facility; or

(e) Any other dollar threshold approved by the Board of Directors.

2. For any amount, if the President determines that public exigency requires the immediate delivery of goods or service, including circumstances that will: (i) seriously interrupt the delivery of public transportation service; (ii) create a serious risk to life, health or safety of NJ TRANSIT employees of the riding public; or (iii) cause NJ TRANSIT Southern Light Rail, Inc. or the State to lose a significant amount of money or significantly jeopardize the assets of NJ TRANSIT Southern Light Rail, Inc. and actions need to be taken in advance of the next Board meeting; providing however, that when the expenditure exceeds $1,000,000 the President may act only after consulting with the Chairperson, or in their absence, the Vice Chairperson. Any expenditure in excess of $250,000 shall be promptly reported to the Board.

3. Releases of any amount against a contract, up to the board approved limit for that contract, where the subject contract has been awarded pursuant to publicly advertised bidding procedures, including publicly advertised contracts.

b. To execute such contracts on behalf of NJ TRANSIT Southern Light Rail, Inc. and to exercise any rights and to perform any obligations vested in or assumed by NJ TRANSIT Southern Light Rail, Inc. pursuant to Section 3, paragraph a above.

c. To require a bond or other instrument securing the performance of any such contract or purchase order executed by them whenever they deem it advisable under the circumstances.

d. In order to implement activities and projects for which funding has been authorized, to execute routine force account, interagency and other agreements with (1) federal, state, bi-state and local (county or municipal) agencies and institutions; (2) independent State Authorities, Transportation Management Associations (TMAs) and other non-profit organizations; (3) public and private railroads and other public and private transportation providers; (4) public and private utilities for the provision of customary utility services and for relocation or modification of their distribution systems as required by capital projects in order to advance and implement NJ TRANSIT Southern Light Rail, Inc.'s operating budget and capital program.

e. To contract with NJ TRANSIT or any of the subsidiaries of NJ TRANSIT upon such terms and conditions as they may deem appropriate.

SECTION 4. MINOR SERVICE AND FARE MODIFICATIONS. The President may set or modify fares for new or promotional services consistent with Board approvals and adopted policy and make such minor service and fare modifications as are permitted by the Act, as amended. [20]

SECTION 5. RECORD KEEPING. In accordance with applicable record retention policies, the President shall, keep records available for the Board of (1) all contracts, purchase orders and change orders entered into pursuant to Section 3 of the Article VI; and (2) all actions taken pursuant to Sections 4 and 6 through 11 of this Article VI; and (3) appropriate financial information.

SECTION 6. LEASES, PERMITS AND LICENSES. On behalf of NJ TRANSIT Southern Light Rail, Inc. the President may enter into, amend and terminate:

a. permits and licenses for the use and occupancy of NJ TRANSIT Southern Light Rail, Inc. owned property in accordance with NJ TRANSIT Southern Light Rail, Inc. policies and procedures and in accordance with terms and conditions set forth at N.J.A.C. 16:77-1.1 et seq., if applicable.

b. agreements for the lease, as lessor, of real or personal property for a term not to exceed ten years (including options) where any such agreement includes any one of the following:

(1) is unconditionally revocable without cause by NJ TRANSIT Southern Light Rail, Inc. upon ninety days notice or less; or

(2) requires payment to NJ TRANSIT Southern Light Rail, Inc. of a fixed monetary consideration either alone or combined with a percentage or other variable additional rental or fee and such fixed consideration (exclusive of any separate obligations of the occupant or user to pay for utilities, insurance, services or other such obligation) does not exceed $1,000,000 per annum in the case of real and personal property, and under the terms of such agreement NJ TRANSIT Southern Light Rail, Inc. does not incur any fixed liability for termination; or

[20] N.J.S.A. 27:25-4.1.a.1., N.J.S.A. 27:25-5.n, and N.J.S.A. 27:25-8.d. and f.

(3) substitutes another for the contracting party to an existing agreement provided that the monetary consideration under such agreement does not exceed $1,000,000 per annum in the case of real and personal property; or

(4) is a renewal, extension, amendment or modification of an existing agreement with terms and conditions at least as favorable to NJ TRANSIT Southern Light Rail, Inc., provided that the monetary consideration under such agreement does not exceed $1,000,000 per annum in the case of real and personal property.

c. agreements for the lease, as lessee, of real or personal property for a term not to exceed 10 years (including options) where any such agreement includes any one of the following:

(1) is unconditionally revocable without cause by NJ TRANSIT Southern Light Rail, Inc. upon ninety days notice or less; or

(2) requires payment by NJ TRANSIT Southern Light Rail, Inc. of a fixed monetary consideration and such fixed consideration (exclusive of any separate obligations of NJ TRANSIT Southern Light Rail, Inc. to pay for utilities, insurance, services or other such obligation) does not exceed $500,000 per annum in the case of real and personal property; and under the terms of such agreement NJ TRANSIT Southern Light Rail, Inc. does not incur any fixed liability for termination; or

(3) substitutes another for the contracting party to an existing agreement provided that the monetary consideration under such agreement does not exceed $500,000 per annum in the case of real and personal property; or

(4) is a renewal, extension, amendment or modification of an existing agreement with terms and conditions at least as favorable to NJ TRANSIT Southern Light Rail, Inc. provided that the monetary consideration under such agreement does not exceed $500,000 per annum in the case of real and personal property.

SECTION 7. INTERVENTION BEFORE LEGISLATIVE AND REGULATORY BODIES. The President may authorize intervention and participation on behalf of NJ TRANSIT Southern Light Rail,

Inc. in proceedings before federal and state legislative bodies; and may request the Attorney General, Chief Legal Officer, or counsel of their choosing, to intervene and participate on behalf of NJ TRANSIT Southern Light Rail, Inc. before regulatory bodies or any other administrative tribunal of the United States or of the State of New Jersey or their subdivisions.

SECTION 8. ACCEPTANCE OF PERFORMANCE. The President may accept and approve performance by any contractor under any contract. The President may also make a final certification for payment, in accordance with procedures he/she shall establish, of all duly authorized and authenticated items of expenditure for payment from any NJ TRANSIT funds from whatever source derived.

SECTION 9. LEGAL ADVICE AND LITIGATION. The President may request the Chief Legal Officer, the Attorney General, or other legal counsel retained for any purpose to provide advice and request such counsel retained for that purpose to initiate, intervene or take any other action with regard to litigation on behalf of NJ TRANSIT Southern Light Rail, Inc. and pay all judgments. [21]

SECTION 10. TRANSFER OF FUNDS. Subject to the limitations of applicable law, the President may transfer funds among items of the budget.

SECTION 11. SCOPE OF ADMINISTRATIVE POWERS. The powers herein vested in the President shall not be construed or deemed to affect the power of the Board to act in any case, but where the Board exercises a power in any such case, such action shall not be construed or deemed to affect the power of the President to act in similar cases in the future.

ARTICLE VII. BUDGET

Whenever reference in these Bylaws is made to a budget it shall mean a budget approved or adopted by the Board.

ARTICLE VIII. BANKING, RETIREMENT PLANS AND OPERATING INVESTMENT CASH

All funds and cash or cash equivalents, publicly traded securities and assets of defined contribution plans

[21] N.J.S.A. 27:25-5.z.

shall be deposited in such banks, or other financial institutions, or Trustees, as approved by the Board, or Treasurer/Chief Financial Officer as described herein, or such funds, assets, and cash of NJ TRANSIT Southern Light Rail, Inc. may be invested from time to time as the Board may direct.

The Treasurer/Chief Financial Officer is authorized to invest and deposit funds of NJ TRANSIT Southern Light Rail, Inc. in any obligations or depositories which are consistent with the investment policies of the State of New Jersey Cash Management Fund as permitted under P.L. 1950, c.270 and subsequent legislation or as otherwise prescribed by the Board, including money market funds, commercial paper, instruments of United States Government Agencies and the United States Treasury.

Board approval is required to: establish an initial account relationship with banks and other financial institutions for which the Board has not previously directed and prescribed; or, effectively sever or end the banking or financial relationship. Board approval is not required to establish (1) additional accounts at banks or other financial institutions which relationships were previously Board-approved and (2) relationships with credit/debit card issuers, processing banks and related companies for the electronic transmission and/or settlement of transactions involving passenger fares, merchandise, commodities or electronic settlement of accounts due to or owed by NJ TRANSIT Southern Light Rail, Inc. in the ordinary course of business.

ARTICLE IX. AMENDMENTS AND SUSPENSIONS

The provisions of these Bylaws may be amended or suspended, in whole or part, by a resolution duly adopted at any Board meeting. The Bylaws shall be reviewed and updated at least once every five years.

ITEM 2511-52: MULTILEVEL OVERHAUL AND MODERNIZATION PROJECT (429 VEHICLES)

WHEREAS, New Jersey Transit Corporation (NJ TRANSIT) owns and operates a fleet of 329 first-generation Multilevel I (ML I) rail vehicles, and 100 second-generation Multilevel II (ML II) rail vehicles, all of which were manufactured by Bombardier Transit Corporation and delivered between 2006–2009 and 2012–2013, respectively; and

WHEREAS, the ML I and ML II vehicles have a life expectancy of approximately 30 years, with a typical mid-life overhaul occurring between 15 and 20 years of service, and the ML I fleet is now due for such overhaul while the ML II fleet is approaching that time; and

WHEREAS, NJ TRANSIT is currently in the process of procuring third-generation Multilevel III (ML III) vehicles, and it is essential that the ML I and ML II fleets be modernized to ensure interoperability and compatibility with the new ML III vehicles; and

WHEREAS, the Multilevel Overhaul and Modernization Project (the Project) will encompass the design, production, testing, and warranty phases required to overhaul and modernize the existing ML I and ML II vehicles; and

WHEREAS, NJ TRANSIT will utilize a process to identify qualified rail vehicle overhaul contractors with demonstrated experience in large-scale commuter railcar mid-life overhaul programs, and from this process, a shortlist of qualified firms will be developed for participation in the final procurement and contract award stage; and

WHEREAS, NJ TRANSIT staff recommends proceeding with the procurement, and seeks authorization to award a contract to a qualified rail vehicle overhaul contractor for the execution of the Multilevel Overhaul and Modernization Project;

NOW, THEREFORE, BE IT RESOLVED that the Chair or President & CEO is hereby authorized to enter into and execute a contract with a qualified rail vehicle overhaul contractor for the Multilevel Overhaul and Modernization Project, in an amount not to exceed $917,058,512.41, plus 10 percent for contingencies, subject to the availability of funds; and

BE IT FURTHER RESOLVED, that the Chair or President & CEO, or their designee is authorized to take all actions necessary or desirable to effectuate the purposes of this resolution, including the negotiation and execution of all agreements, documents, and amendments consistent with the intent of this authorization.

ITEM 2510-53: NEWARK LIGHT RAIL STATE OF GOOD REPAIR – TRACK AND RIGHT-OF-WAY IMPROVEMENTS CONSTRUCTION DOCUMENT PREPARATION AND SUPPORT SERVICES

WHEREAS, NJ TRANSIT is working to improve the quality of the public transit system to make it the preferred choice for travel in New Jersey; and

WHEREAS, Newark Light Rail (NLR) serves a vital role in providing the communities along its rights-of-way safe and reliable transportation to and from Penn Station and the stations along its route; and

WHEREAS, age, water infiltration, and wear have caused deterioration of the track, and supporting structure that have outpaced regular maintenance; and

WHEREAS, repairs must be implemented to bring the Newark Light Rail up to a state of good repair, including the replacement of ties, rail, ballast, and sub-ballast, and repairs to the drainage system, and this work requires properly formatted design documents; and

WHEREAS, AECOM was determined to offer the most advantageous and responsive proposal to NJ TRANSIT through a competitive RFP procurement process, and was awarded NJ TRANSIT Contract No. 15-029R;

NOW, THEREFORE, BE IT RESOLVED that the Chair or President & CEO is authorized to execute Change Order No. 2 to NJ TRANSIT Contract No. 15-029R with AECOM of Philadelphia, Pennsylvania, for construction document preparation and support services of the Newark Light Rail Project, in the amount of $535,000.00, plus five percent for contingencies, subject to the availability of funds.

CONSENT CALENDAR

ITEM 2511-54: RECOMMENDATION TO APPROVE THE AUDITED FINANCIAL STATEMENTS FOR THE FISCAL YEAR ENDED JUNE 30, 2025

WHEREAS, P.L. 1979, Ch. 150, P.L. 2018, Ch. 162, Executive Order 122 (McGreevey 2004) (EO 122), and Executive Order 37 (Corzine 2006) (EO 37) require, amongst other things, an annual audit of the financial statements of NJ TRANSIT by an independent auditor. For purposes of the Executive Orders, the audit is an examination of NJ TRANSIT's financial statements by a certified public accounting firm in compliance with generally accepted government auditing standards (GAGAS), issued by the Comptroller General of the United States, and in accordance with all applicable rules, regulations, and circulars; and

WHEREAS, EO 37 and EO 122 require the audit to be accompanied by a written certification from both the President & CEO, and the Senior Vice President, Chief Financial Officer & Treasurer, that the financial information provided to the independent auditor in connection with the audit is, to the best of their knowledge, accurate and that such information fairly represents, in all material respects, the financial condition and operational results of NJ TRANSIT for the fiscal year; and

WHEREAS, P.L. 2018, Ch. 162 requires NJ TRANSIT to file its annual audit with the New Jersey Department of Treasury within four months after the close of the fiscal year; and

WHEREAS, on or before October 31, 2025, NJ TRANSIT's independent auditor, Deloitte & Touche LLP (Deloitte), completed its examination of NJ TRANSIT's financial statements for the fiscal year ended June 30, 2025, in compliance with the enabling legislation and requirements of the Executive Orders. Deloitte issued an unmodified opinion, which concluded that the financial statements present fairly, in all material respects, the consolidated net position of NJ TRANSIT as of June 30, 2025, and the changes in its financial position, and its cash flows for the year then ended, were in conformity with United States generally accepted accounting principles; and

WHEREAS, at its Special Meeting of October 27, 2025, NJ TRANSIT's Audit Committee reviewed the FY25 audited financial statements with Deloitte and senior staff from the Finance Department. The Audit Committee recommended that the FY25 audited financial statements be presented to the Board of Directors for its acceptance and approval; and

WHEREAS, on or before October 31, 2025, NJ TRANSIT filed its FY25 audited financial statements for the fiscal year ended June 30, 2025, with the New Jersey Department of Treasury thereby complying with its enabling legislation;

NOW, THEREFORE, BE IT RESOLVED that in compliance with EO 37 (Corzine 2006), it is respectfully recommended that the Board of Directors accept and approve NJ TRANSIT's audited financial statements for the fiscal year ended June 30, 2025.

ITEM 2511-55: REGULATION: READOPTION WITH AMENDMENTS OF N.J.A.C. 16:72 - NEW JERSEY TRANSIT PROCUREMENT POLICIES AND PROCEDURES

WHEREAS, NJ TRANSIT was established by the New Jersey Public Transportation Act of 1979, (N.J.S.A. 27:25-1 et seq.) as the instrumentality of the State of New Jersey to establish and provide for the operation and improvement of a coherent public transportation system in the most efficient and effective manner; and

WHEREAS, NJ TRANSIT procures a wide spectrum of goods and services in order to support, operate and improve its public transportation system in furtherance of its statutory mission; and

WHEREAS, in accordance with N.J.S.A. 27:25-5(e), and N.J.S.A. 27:25-11, NJ TRANSIT has the statutory authority to promulgate rules and regulations relating to procurements; and

WHEREAS, N.J.A.C. 16:72 contains the rules governing the procurement by NJ TRANSIT of goods and services through a competitive bidding process, as well as the debarment, suspension, and disqualification of persons and/or companies doing business with NJ TRANSIT; and

WHEREAS, staff reviewed the proposed rules and determined that they are necessary, adequate, reasonable, efficient, and responsive to the purposes for which they were originally promulgated, and should be readopted with amendments; and

WHEREAS, the proposed rules, set forth in Exhibit A, were published in the New Jersey Register on August 4, 2025, and the public comment period expired on October 3, 2025; and

WHEREAS, as set forth in Exhibit B, no relevant public comments were received regarding the proposed rules with amendments during the public comment period;

NOW, THEREFORE, BE IT RESOLVED that the Chair or President & CEO, or the appropriate designee, is hereby authorized to take all actions necessary to adopt N.J.A.C. 16:72 et seq., consistent with this Board item and corresponding Exhibits, put the regulation in the appropriate format, and take all other actions necessary to effectuate the final adoption and promulgation of NJ TRANSIT's Procurement Policies and Procedures.

EXHIBIT A

57 NJR 8(1)
August 4, 2025
Filed July 10, 2025

TRANSPORTATION

NEW JERSEY TRANSIT CORPORATION

New Jersey TRANSIT Procurement Policies and Procedures

Proposed Readoption with Amendments: N.J.A.C. 16:72

Proposed New Rules: N.J.A.C. 16:72-3.4 and 5

Proposed Repeals: N.J.A.C. 16:72-4.3 through 4.11

Authorized By: New Jersey Transit Corporation, Kris Kolluri, President and CEO.

Authority: N.J.S.A. 2A:44-143, 27:25-5.e, and 27:25-11.

Calendar Reference: See Summary below for explanation to calendar requirement.

Proposal Number: PRN 2025-095.

Submit comments by October 3, 2025, to:

Compliance Department

New Jersey Transit Corporation

283-299 Market Street

18th Floor

Newark, NJ 07102

email: RuleProcurementComments@njtransit.com

The agency proposal follows:

Summary

The New Jersey Transit Corporation ("NJ TRANSIT" or "Corporation") was established by the New Jersey Public Transportation Act of 1979 (the Act), N.J.S.A.

27:25-1 et seq., as an instrumentality of the State government responsible to establish and provide for the operation and improvement of a coherent public transportation system in the most efficient and effective manner. NJ TRANSIT has evaluated the rules at N.J.A.C. 16:72, New Jersey TRANSIT Procurement Policies and Procedures, which was scheduled to expire on June 11, 2026. As the Corporation filed this notice of readoption prior to the expiration date, that date is extended 180 days to December 8, 2026, pursuant to N.J.S.A. 52:14B-5.1.c.

NJ TRANSIT has determined that the rules in Chapter 72 are necessary, adequate, reasonable, efficient, and responsive to the purposes for which they were originally promulgated, with the changes discussed below and, therefore, proposes to readopt the chapter with amendments, new rules, and repeals.

N.J.A.C. 16:72 s the requirements governing the procurement by NJ TRANSIT of goods and services, as well as the debarment, suspension, and disqualification of persons and/or companies doing business with NJ TRANSIT. With certain exceptions, the rules proposed for readoption with amendments require all purchases, whether made as a result of formal advertising or otherwise, to be made on a competitive basis, to the maximum practical extent, and implement the procurement requirements set forth at N.J.S.A. 27:25-1 et seq.

A summary of each of the existing subchapters follows:

Subchapter 1, General Provisions, describes the general provisions, applicable to all procurements, including the method of procurement and the means by which the public may secure information about the bidding process conducted by NJ TRANSIT.

Subchapter 2, Procedures for Invitation for Bids, describes the procedures for public bidding.

Subchapter 3, Requests for Proposals, describes the procedure to be used in the request for proposal process.

Subchapter 4, Design-Build Projects, describes the process for soliciting design-build projects.

Subchapter 5, Debarment, Suspension, and Disqualification of Persons, describes the process for debarment, suspension, and disqualification.

Subchapter 6, Complaints, describes procedures for filing complaints related to contracts arising as a result of procurements.

The proposed amendments, new rules, repeals are as follows:

Minor amendments that have been proposed throughout include an updated address for NJ TRANSIT headquarters and replacing the title of “Executive Director” with “President and CEO.”

At Subchapter 1, a definition for “negotiations” has been added to N.J.A.C. 16:72-1.2. A more detailed discussion of the requirements for procuring through quotation has been added at N.J.A.C. 16:72-1.5(b). Changes are proposed at N.J.A.C. 16:72-1.5(e), adding justifications for procurements-by-exception for required technical “services” that must be compatible with existing technology and for situations where NJ TRANSIT has the opportunity to test or evaluate an innovative concept or technology that could benefit the agency, pursuant to EO 37 N.J.A.C. 16:72-1.5(e)(12) and NJSA 27:25-11(g)(3)(c). At N.J.A.C. 16:72-1.5(j), a reference to NJ TRANSIT’s contracting-out rules, permitting

contracting with public or private entities when required for the operation of public transportation services, has also been added.

Subchapter 2, Invitations for Bids (IFB), and Subchapter 3, Requests for Proposals (RFP), have been updated to reflect that it is now permissible to advertise IFBs in digital versions of newspapers and to reflect that paper bids and proposals are no longer received and/or returned during the procurement process. N.J.A.C. 16:72-2.4 has been revised to specifically incorporate NJ TRANSIT's ability to consider a contractor's prequalification status from another State agency. N.J.A.C. 16:72-3.4 has been added to align with 16:72-2.17 and permit NJ TRANSIT to waive minor informalities or irregularities in a Proposal. Direction on the negotiability of contract terms has also been added at N.J.A.C. 16:72-3.9. N.J.A.C. 16:72-2.6 has been amended for clarity purposes and to provide NJ TRANSIT with greater flexibility by deleting "should not be cancelled, unless cancellation is in NJ TRANSIT's best interest" and add "may be cancelled if in NJ TRANSIT's best interest or is in the public interest." N.J.A.C. 16:72-2.6(a), 2.12(a)7, 2.13(f), 3.5, 3.10(a)6, 6.3(a)2, and 6.6(a)2 were also proposed for amendment with the same changes. N.J.A.C. 16:72-2.8 and 2.10 have been amended to delete language returning bids to bidders if the Invitation for Bids is cancelled or the bid is late. N.J.A.C. 16:72-2.19 has been amended to add "in good faith." N.J.A.C. 16:72-2.20(a) has been amended to add "or disabled veteran-owned businesses."

Subchapter 4, Design-Build (DB) Projects, has been amended to remove redundant language regarding debarment, suspension, and disqualification of persons now codified at Subchapter 6.

Subchapter 5 has been added to include language regarding professional architectural, engineering, and land surveying services as required pursuant to N.J.S.A. 52:34-9.5.c.

Recodified Subchapter 6 has been amended to include language regarding debarment, suspension, and disqualification of persons previously codified at Subchapter 5. Subchapter 6 has been amended to delete “Attorney General” at N.J.A.C. 16:72-6.6(a)1 and 2, and to delete “without the approval of the Attorney General” and add “at the discretion of the President and CEO” at N.J.A.C. 16:72-6.6(a)6. Subchapter 6 has also been amended to delete “to the extent that the Attorney General determines that such reasons may be properly disclosed” at N.J.A.C. 16:72-6.7(a)1 and to delete “A copy of said exception shall be filed with the Attorney General” at N.J.A.C. 16:72-6.9. These changes reflect that such determinations shall be made in the best interest of NJ TRANSIT as determined by the President and CEO, or their designees, rather than by the Attorney General.

Recodified Subchapter 7 describes procedures for filing complaints related to contracts arising from procurements. Subchapter 7 includes the addition of “and this chapter” at N.J.A.C. 16:72-7.1 and “virtual or telephonic presentations” at N.J.A.C. 16:72-7.5(b).

As the Corporation has filed a 60-day comment period on this notice of proposal, this notice is excepted from the rulemaking calendar requirement, pursuant to N.J.A.C. 1:30-3.3(a)5.

Social Impact

The rules proposed for readoption with amendments, new rules, and repeals will positively affect NJ TRANSIT's ability to provide Statewide transit services to the public and will continue NJ TRANSIT's capital improvement program, resulting in a better quality of services to the public and the improvement and maintenance of infrastructure for the public's future use. The procedures delineated in the rules protect the interests of the general public and bidders.

Economic Impact

The rules proposed for readoption with amendments, new rules, and repeals, by continuing utilization of a competitive bidding system, will provide economic benefits to the State that are not available without such a system. A competitive and fair procurement process provides NJ TRANSIT with the ability to procure and contract for goods and services with reliable bidders at a better price, leading to cost savings for NJ TRANSIT. Bonding is required of certain bidders, based upon the specific contract. Although the cost of a bond may be included by a bidder in its bid price, the protection offered to the State from bid bonds, performance bonds, and payment bonds outweighs any potential higher bid price. The costs of preparing a bid or proposal would vary, depending upon the specifications of the individual RFPs and upon the specific contract.

NJ TRANSIT does not anticipate that the rules proposed for readoption with amendments, new rules, or repeals will increase costs to bidders relative to the current rules. These rules are designed to endorse and promote high quality and efficient public transportation, thereby supporting employment of New Jersey residents by assisting with travel to and from places of employment.

Federal Standards Statement

A Federal standards analysis is not required because the rules proposed for readoption with amendments, new rules, and repeals are governed pursuant to N.J.S.A. 27:25-11 and are not subject to any Federal procurement regulations or standards. To the extent that a complaint is filed against a Disadvantaged Business Enterprise in a Federally funded procurement, an alternate procedure consistent with Federal regulations is required.

Job Impact

NJ TRANSIT anticipates only favorable impact on the workforce in the State by the rules proposed for readoption with amendments, new rules, and repeals. NJ TRANSIT will continue to provide opportunities for vendors to compete for goods and services contracts and such contracts will enable businesses to employ New Jersey citizens to perform the contract requirements.

Agriculture Industry Impact

The rules proposed for readoption with amendments, new rules, and repeals will have no impact on the agriculture industry.

Regulatory Flexibility Analysis

The rules proposed for readoption with amendments, new rules, and repeals apply to all entities who want to do business with NJ TRANSIT, some of which may be small businesses, as the term is defined in the New Jersey Regulatory Flexibility Act, N.J.S.A. 52:14B-16 et seq. The rules require that bids be submitted in a specified manner, accompanied by bonds in certain cases, and that debarment occurs in specified situations. Provisions in the rules allow for amendment and negotiation of bids, but no preferential treatment has been specifically provided for small businesses. In accordance with New Jersey's Small Business Set Aside Program, NJ TRANSIT sets goals and creates set-asides for Small Business Enterprises (SBEs) certified by the State, as set forth at N.J.A.C. 17:13 and/or 17:14. Whether an SBE goal or set-aside is created, whether the business is large or small, the rules provide for equal treatment of businesses in the bidding process in the interest of high quality goods and services and fairness to all bidders. The professional services required to complete the bidding process are those services ordinarily required for the completion of any capital project, for example, engineering and design services. Other professional services would vary, depending upon the specifications of the individual RFPs. The costs of professional services will vary, depending upon the specifications of the individual RFPs. The costs of complying with the rules are discussed in the Economic Impact, but NJ TRANSIT does not anticipate that the rules proposed for readoption with amendments, new rules, and repeals will increase costs to small businesses relative to the current rule.

Housing Affordability Impact Analysis

NJ TRANSIT does not anticipate that the rules proposed for readoption with amendments, new rules, and repeals will have any impact on the affordability of housing in New Jersey or on the average costs of housing because the rules pertain to an efficient and robust procurement process for the bidding community. However, NJ TRANSIT provides bus, rail, light rail, and Access Link services throughout the State, which allows residents flexibility of choice for their place of residence.

Smart Growth Development Impact Analysis

The rules proposed for readoption with amendments, new rules, and repeals will have no impact on the achievement of smart growth or on housing production within Planning Areas 1 and 2, or within designated centers, pursuant to the State Development and Redevelopment Plan because the procurement rules affected in this rulemaking are limited to ensuring a competitive bid process for the bidding community.

Racial and Ethnic Community Criminal Justice and Public Safety Impact

The rules proposed for readoption with amendments, new rules, and repeals will not have an impact on pretrial detention, sentencing, probation, or parole policies concerning adults and juveniles in the State. Accordingly, no further analysis is required.

Full text of the rules proposed for readoption may be found in the New Jersey Administrative Code at N.J.A.C. 16:72.

Full text of the rules proposed for repeal may be found in the New Jersey Administrative Code at N.J.A.C. 16:72-4.3 through 4.11.

Full text of the proposed amendments and new rules follows (additions indicated in boldface **thus**; deletions indicated in brackets [thus]):

SUBCHAPTER 1. GENERAL PROVISIONS

16:72-1.1 Source for public information

The public may receive information concerning NJ TRANSIT's procurement program by contacting the Procurement Department, NJ TRANSIT, [One Penn Plaza East, Newark, New Jersey 07105-2246] **283-299 Market Street, Suite 1000, Newark, NJ 07102** or www.njtransit.com/procurement.

16:72-1.2 Definitions

The following words and terms, when used in this chapter, shall have the following meanings unless the context clearly indicates otherwise:

...

"Contracting officer" means the designee of the [Executive Director] **President and CEO** authorized to execute contracts and make determinations regarding all aspects of the procurement and contracting process.

...

"Negotiations" means discussions between NJ TRANSIT and bidders or proposers related to a procurement, proposal, or contract with the goal of reaching a mutually acceptable agreement.

...

16:72-1.5 Methods of procurement

(a) (No change.)

(b) Quotation: Purchases or contracts not in excess of the amounts determined pursuant to [Section] **section** 2 [of] **at** P.L. 1954, c. 48 (N.J.S.A. 52:34-7) or section 13 [of] **at** P.L. 2018, c. 162 (N.J.S.A. 27:25-11) shall be made in accordance with the [process published by the New Jersey Department of the Treasury, Circular No. 16-02-DPP, as amended and supplemented.] **following procedures:**

1. For purchases not exceeding $17,500 per fiscal year, a limited dollar order may be issued without price competition for a purchase less than or equal to $17,500;

2. For purchases over $17,500, but not exceeding $304,000 or the amount authorized pursuant to section 2 at P.L. 1954, c. 48 (N.J.S.A. 52:34-7) or section 13 at P.L. 2018, c. 162 (N.J.S.A. 27:25-11) per fiscal year by soliciting written quotes from an adequate number of qualified sources. A good faith effort shall be made to obtain up to three quotes.

i. As set forth at (b)2 above, a single response to a solicitation is sufficient to make an award, provided the efforts to obtain additional quotes are documented;

3. For goods and materials, an award shall be made to the vendor offering the lowest price. However, NJ TRANSIT may award to a vendor offering a higher price but better serving the interest of NJ TRANSIT based upon qualitative factors including, but not limited to, a better quality product, a more robust warranty, or support for the product(s) or related service(s), or a better return/replacement policy than was offered by the competition; and

4. For procurements primarily for the performance of services, an award shall be made to the vendor whose proposal is most advantageous to NJ TRANSIT, price and other factors considered.

(c) Request for proposals: The procurement of goods and services in excess of the amounts determined pursuant to [Section] **section** 2 [of] **at** P.L. 1954, c. 48 (N.J.S.A. 52:34-7), which will not be evaluated based solely on cost, shall be accomplished through the issuance of an advertised request for proposal or, for professional and technical services, to a minimum of three vendors, or where determined by the [Executive Director] **President and CEO**, or his or her designee, in writing, that an alternative method of procurement is in NJ TRANSIT's best interest **or is in the public interest**.

(d) An alternate method of advertised procurement may be used when the [Executive Director] **President and CEO**, or his or her designee, determines in writing, that the alternative method is in NJ TRANSIT's best interest **or is in the public interest**.

(e) Procurement-by-exception: The requirements [of] **at** (a), (b), and (c) above may be waived under the following circumstances and the purchase or contract made in such manner as the [Executive Director] **President and CEO**, or his or her designee, may determine is in the best interest of NJ TRANSIT **or is in the public interest**:

1.-11. (No change.)

12. The equipment **and related services** to be purchased [is] **are** of a technical nature and the procurement thereof without advertising is necessary in order to [assure] **ensure** standardization of equipment and interchangeability of parts in the public interest;

13. The procurement of services to be performed by the contractor personally under the supervision of the [Executive Director] **President and CEO**, or his or her designee, and paid for on a [timely] **time** basis;

14. To acquire or overhaul motorbuses, light rail vehicles, rail cars, locomotives, signal systems, or fare collection systems; [and]

15. To acquire goods or services related to homeland security and domestic preparedness, that is paid for or reimbursed by Federal funds awarded by the U.S. Department of Homeland Security or other Federal agency, from vendors that:

i.-ii. (No change.)

iii. Have been approved by the State Treasurer in consultation with the New Jersey Domestic Security Preparedness Task Force[.]**; and**

16. To experiment, test, or evaluate a product, technology, or component, or experiment, test, or evaluate the service or reliability of a source for a product, technology, or component. The term for a contract issued according to this justification shall be a maximum of two years.

(f) For any procurement, for which negotiation is authorized, the [Executive Director] **President and CEO**, or his or her designee, may negotiate with bidders or proposers, the final terms and conditions of any contract, including price. Such ability to so negotiate shall be expressly set forth in the applicable request for proposal, or other solicitation, and submitted proposals or bids shall not be publicly accessible until after negotiations have been completed and the notice of intent to award the contract has been issued.

(g) Authority for procurement-by-exception: The authority for procurement [under] **within** the circumstances listed [in] **at** (e) above rests with the [Executive Director] **President**

and CEO, or his or her designee, for procurement transactions not in excess of the amounts determined pursuant to [Section] **section** 2 [of] **at** P.L. 1954, c. 48 (N.J.S.A. 52:34-7). Transactions in excess of the amounts determined pursuant to [Section] **section** 2 [of] **at** P.L. 1954, c. 48 (N.J.S.A. 52:34-7) will require approval as may be set forth in the [By-Laws] **bylaws** of NJ TRANSIT.

(h)-(j) (No change.)

16:72-1.7 Execution of contracts

Any contract or instrument shall be deemed properly executed when signed by the [Executive Director] **President and CEO**, or his or her designee. No contract or purchase order shall be entered into unless all applicable requirements of law, this chapter, and NJ TRANSIT's [By-Laws] **bylaws** have been met, and the approval of the Board of NJ TRANSIT obtained, when required.

16:72-1.10 Out-of-State vendors

All out-of-State vendors that wish to do business with NJ TRANSIT shall be afforded 10 working days to register with the State of New Jersey **as a foreign corporation, limited liability company, or partnership, as applicable**, after notification by NJ TRANSIT of the intent to award that out-of-State firm a contract. Failure to provide either certification or notification of filing with the **New Jersey Department of the Treasury,** Division of Revenue and Enterprise Services within the [10 working-day] **10-working-day** period may constitute cause for rejection of that firm's bid or proposal.

SUBCHAPTER 2. PROCEDURES FOR INVITATION FOR BID (IFB)

16:72-2.1 Advertising of bids

The advertisement for bids shall be placed in such newspaper or newspapers**,** **including digital versions,** selected by NJ TRANSIT that will give best notice thereof to bidders and will be posted on NJ TRANSIT's website. Advertisements shall be made a minimum of 20 calendar days in advance of the bid opening; however, a lesser time period may be set by the Chief Procurement Officer in order to provide public transportation and transit operations without disruption. The advertisement shall designate the time and place, when and where sealed bids shall be received and publicly opened and read, or whether bids shall be received electronically, and such other terms as NJ TRANSIT may deem proper.

16:72-2.4 Pre-qualification of firms for capital projects

(a) Prospective contractors, prior to bidding on improvements to capital facilities and equipment, must be pre-qualified as to the character or amount of work**,** or both**,** for which they are permitted to submit bids. Such prequalification shall be based on all factors relating to contractor responsibility as set forth [in] **at** N.J.A.C. 16:72-1.4, and any pertinent information relating to the qualifications of contractors.

(b) Such pre-qualification, as noted [in] **at** (a) above, shall be assigned contractors based on information submitted by them in response to a questionnaire provided by NJ TRANSIT. A prospective contractor dissatisfied with its pre-qualification classification may request an informal hearing to present additional information to justify a different

classification. After hearing the additional evidence, NJ [Transit] **TRANSIT** may, in its discretion, change or modify the bidder's classification.

(c) In response to the pre-qualification questionnaire, prospective contractors who have been pre-qualified by the New Jersey Department of Transportation, New Jersey Turnpike Authority, Division of Property Management and Construction within the New Jersey Department of the Treasury, and the New Jersey Schools Development Authority may submit proof of that pre-qualification, and the underlying documentation submitted to the other public entity, to support its application for pre-qualification to NJ TRANSIT. NJ TRANSIT has the sole discretion to decide whether or not to accept a prospective contractor's proof of such pre-qualification and may request additional information or documentation from the prospective contractor.

16:72-2.6 Cancellation of Invitations of Bids before opening

(a) Invitations for Bids [should not be] **may be** cancelled, [unless cancellation is] **if** in NJ TRANSIT's best interest **or in the public interest**.

(b) Where an Invitation for Bid is cancelled, bids [that have been received shall be returned, unopened, to the bidders] **shall not be opened** and a notice of cancellation shall be sent to all prospective bidders to whom Invitations for Bids were issued or made available online.

16:72-2.8 Receipt and safeguarding of bids

(a) All bids received prior to the time of opening shall be kept secure, and, except as provided [in] **at** (b) below, unopened. [If an Invitation for Bids is cancelled, or if a bidder effectively withdraws a bid prior to the time set for opening of bids, all bids, or the withdrawn bid, as the case may be, shall be returned to the bidders.]

(b) (No change.)

16:72-2.10 Late bids

Bids not received prior to or at the time designated for formal bid opening shall not be considered [and shall be returned to the bidder unopened].

16:72-2.12 Cancellation of bids after opening

(a) Invitations for Bids may be cancelled after opening but prior to award and all bids rejected, where NJ TRANSIT determines that:

1.-6. (No change.)

7. For other reasons, cancellation is in the best interest of NJ TRANSIT **or is in the public interest**.

(b) (No change.)

16:72-2.13 Rejection of individual bids

(a)-(e) (No change.)

(f) Where the bid line items are materially unbalanced and award would not be in the best interest of NJ TRANSIT **or is not in the public interest**, the bid [will] **shall** be rejected.

16:72-2.18 Tie bids

(a) (No change.)

(b) When none of the distinguishable characteristics [in] **at** (a) above are available, NJ TRANSIT shall, if practicable, provide for contract award by splitting the award. If splitting the award is not practicable, the award [will] **shall** be made according to the tie-breaking criteria in the solicitation document.

16:72-2.19 Bid errors

(a) While bidders normally shall be expected to be bound by their bids, circumstances exist where correction or withdrawal of bids is permitted.

1. (No change.)

2. In lieu of bid correction, NJ TRANSIT may permit a low bidder alleging a material mistake of fact to withdraw its bid when there is reasonable proof that a mistake was made **in good faith** and the intended bid cannot be ascertained with reasonable certainty. Such bidder shall not be permitted to withdraw its bid for mistakes or errors in judgment.

3. (No change.)

16:72-2.20 Award

(a) Unless all bids are rejected, **an** award shall be made by NJ TRANSIT within the time for acceptance specified in the bid or extension thereof, to the lowest responsible bidder for contracts for the construction or improvement of capital facilities. This provision shall not apply to any design-build project, including design, build or design, build, maintain

and operate, or design, build, maintain, operate, and finance projects, or affect NJ TRANSIT's Disadvantaged Business Enterprise**,** [or] Small Business Enterprise**, or Disabled Veteran-Owned Business** programs or limit NJ TRANSIT's right to extend, add, or resume work on any project.

(b)-(c) (No change.)

16:72-2.21 Procedures and forms

NJ TRANSIT shall develop such procedures, forms**,** and directives as may be necessary to carry out [these regulations] **this chapter**.

SUBCHAPTER 3. REQUESTS FOR PROPOSALS (RFPs)

16:72-3.3 Amendment of request for proposals

(a) If**,** after issuance of a [request for proposals (]RFP[)], but before the time of receipt, it becomes necessary to make changes in scope, delivery deadline, closing dates, or any other part of the RFP, or to correct a defective or ambiguous RFP, such changes shall be accomplished by issuance of an amendment of the RFP. The amendment shall be made available online or sent to everyone to whom NJ TRANSIT has furnished the RFP.

(b) (No change.)

16:72-3.4 Waiver of minor informalities or irregularities in proposals

NJ TRANSIT reserves the right to waive any minor informalities or irregularities in a proposal not in compliance with the specifications, terms, and conditions of the RFPs.

16:72-[3.4]**3.5** Cancellation of requests before opening

[Requests for proposals (]RFPs[) should] **shall** not be cancelled, unless cancellation is in NJ TRANSIT's best interest **or is in the public interest**. Where an RFP is cancelled, proposals that have been received shall [be returned unopened to the proposers] **not be opened** and a notice of cancellation shall be sent to all prospective proposers to whom RFPs were furnished by NJ TRANSIT or be made available online. The notice of cancellation shall identify the RFP and briefly explain the reason the RFP is being cancelled.

16:72-[3.5]**3.6** Receipt and safeguarding of proposals

(a) All proposals received prior to the time of opening shall be kept secure, and except as provided [in] **at** (b) below, unopened. [If an RFP is cancelled, or if a proposer effectively withdraws its proposal, all proposals, or the withdrawn proposal, as the case may be, shall be returned to the proposers.]

(b) (No change.)

16:72-[3.6]**3.7** Late proposals

Proposals not received prior to or at the time designated for formal receipt shall not be considered. Late proposals shall [be returned to the proposer unopened] **not be opened**.

16:72-[3.7]**3.8** (No change in text.)

16:72-[3.8]**3.9** Negotiations

(a) Negotiations may be conducted with proposers whose proposals are considered to be competitive in accordance with State and Federal law.

(b) If NJ TRANSIT intends to conduct negotiations, notice shall be given to competitive proposer(s), and may identify in general terms, the elements or factors upon which NJ TRANSIT intends to base its negotiations or may be tailored to each individual proposer.

16:72-[3.9]**3.10** Rejection of all proposals

(a) Requests for proposals may be cancelled after opening but prior to award and all proposals rejected, where NJ TRANSIT determines**,** in writing**,** that:

1.-5. (No change.)

6. For other reasons, cancellation is in the best interest of NJ TRANSIT **or is in the public interest**.

Recodify existing N.J.A.C. 16:72-3.10, 3.11, 3.12, as 3.13 as **16:72-3.11, 3.12, 3.13, and 3.14** (No change in text.)

SUBCHAPTER 4. DESIGN-BUILD **(DB)** PROJECTS

16:72-4.1 Solicitation of design-build projects

(a) (No change.)

(b) As part of the solicitation for design-build projects, NJ TRANSIT may prescribe:

1.-3. (No change.)

4. That members of a design-build team presented by the firm selected for award may be modified or substituted after the evaluation procedure is completed, but new or substituted members must be submitted to NJ TRANSIT prior to the execution of the contract, with supporting information as required by NJ TRANSIT. A prospective contractor [will] **shall** not be permitted to execute the contract with NJ TRANSIT until NJ TRANSIT deems the new or substituted member qualified. No modifications or substitutions to the design-build team [will] **shall** be permitted beyond execution of the contract for work and completion of design, except for exigent circumstances beyond the control of the contractor within the discretion of NJ TRANSIT.

(c)-(d) (No change.)

SUBCHAPTER 5. PROFESSIONAL SERVICES CONTRACTS

16:72-5.1 Purpose and scope

The provisions of this subchapter shall apply only to contracts for professional architectural, professional engineering, and related design services, and professional land surveying services that involve development and construction of projects that are in excess of the amount prescribed pursuant to N.J.S.A. 52:34-7 and subject to the procurement provisions at N.J.S.A. 52:34-9.1 et seq. Nothing in this subchapter shall preclude NJ TRANSIT from using procurement processes other than those prescribed in this subchapter if those processes have been approved by the Federal government or other State statute,

or if a public exigency or an emergency has been declared by the President and CEO of NJ TRANSIT.

16:72-5.2 Definitions

The following words and terms, when used in this subchapter, shall have the following meanings, unless the context clearly indicates otherwise.

“Agency” or “State agency” means those entities as defined at N.J.S.A. 52:34-9.2 and shall also include any bi-State or multi-State entity to which New Jersey is a party, and which is authorized by law to contract for professional architectural, engineering, and related design services, or land surveying services.

"Compensation" means the basis of payment by an agency for professional architectural, professional engineering, and related design services, or professional land surveying services.

"Professional architectural, professional engineering, and related design services, or professional land surveying services" means those services, including planning, environmental, and construction inspection services required for the development and construction of projects, within the scope of the practice of architecture, professional engineering, and related design services, or professional land surveying as defined by the laws of this State or those performed by an architect, professional engineer, or professional land surveyor in connection with their other professional employment practice.

"Professional firm" means any individual, firm, partnership, corporation, association, or other legal entity permitted by law to provide professional

architectural, professional engineering, and related design services, or professional land surveying services in this State.

16:72-5.3 Criteria for the selection of the most highly qualified professional firms

(a) Prior to the solicitation of proposals or expressions of interest pertaining to the procurement of professional architectural, professional engineering, and related design services, or professional land surveying services for the development and construction of projects, NJ TRANSIT shall publicly advertise its needs for such services, when in excess of the amount prescribed pursuant to N.J.S.A. 52:34-7 and subject to the procurement provisions at N.J.S.A. 52:34-9.1 et seq. The advertisement shall conform to the requirements at N.J.S.A. 52:34-12, or be publicly advertised through electronic means. The advertisement shall either include a statement of the criteria by which NJ TRANSIT shall evaluate the technical qualifications of professional firms and determine the order of preference to be used in designating the firms most highly qualified to perform the services or identify such criteria by reference to the provisions of this chapter.

(b) In selecting the most highly qualified professional firms with which to contract for professional architectural, professional engineering, and related design services, or professional land surveying services, NJ TRANSIT, where applicable, shall consider the following criteria:

1. The experience and qualifications of the firm and designated project team in providing similar services;

2. The experience of the firm and designated project team on projects of similar size and complexity;

3. The experience and capability of the firm and designated project team with respect to any special technologies, techniques, or expertise the project may require;

4. The past performance of the firm; and

5. Any other criteria specified in NJ TRANSIT's public advertisement of the project.

(c) In selecting and ranking the most highly qualified professional firms, NJ TRANSIT shall assign weights for the criteria applicable to each project. NJ TRANSIT may disqualify any firm determined to be unacceptably deficient in one or more of the applicable criteria, regardless of the firm's ranking or score on the remainder of the criteria.

(d) All professional firms interested in being considered qualified to provide professional architectural, professional engineering, and related design services, or professional land surveying services shall:

1. File, or shall have filed, with NJ TRANSIT, a current statement of qualifications and supporting data or provide a copy of the prequalification documents submitted to and approved by a State agency.

2. For the purposes of this subsection, the current statement of qualifications or prequalification documents submitted to NJ TRANSIT shall expire two years from the date it was received by NJ TRANSIT.

SUBCHAPTER [5.] **6.** DEBARMENT, SUSPENSION, AND DISQUALIFICATION OF PERSONS

16:72-[5.1]**6.1** (No change in text.)

16:72-[5.2]**6.2** Causes for debarment of a person(s)

(a) In the public interest, NJ TRANSIT shall debar a person for any of the following causes:

1. (No change.)

2. Violation of the Federal Organized Crime Control Act of 1970, or commission of embezzlement, theft, forgery, bribery, falsification or destruction of records, perjury, false swearing, receiving stolen property, obstruction of justice, or any other offense **relating to fraud or** indicating a lack of business integrity or honesty;

3. -18. (No change.)

(b) The provisions set forth [in] **at** (a)14 through 18 above shall be referenced in all Invitations for Bids and RFPs issued by or on behalf of NJ TRANSIT.

16:72-[5.3]**6.3** Conditions affecting the debarment of a person(s)

(a) The following conditions shall apply concerning debarment:

1. Debarment shall be made only upon approval of the [Executive Director] **President and CEO**, or his or her designee, except as otherwise provided by law.

2. The existence of any of the causes set forth [in] **at** N.J.A.C. 16:72-[5.2]**6.2** shall not necessarily require that a person be debarred. In each instance, the decision to debar shall be made within the discretion of the [Executive Director] **President and CEO**, unless

otherwise required by law, and shall be rendered in the best interest of NJ TRANSIT **or in the public interest**.

3. (No change.)

4. The existence of a cause set forth [in] **at** N.J.A.C. 16:72-[5.2(a)1]**6.2(a)1** through 8 shall be established upon the rendering of a final judgment or conviction, including a guilty plea or a plea of nolo contendere by a court of competent jurisdiction or by an administrative agency empowered to render such judgment. In the event an appeal taken from such judgment or conviction results in reversal thereof, the debarment shall be removed upon the request of the debarred person unless other cause for debarment exists.

5. The existence of a cause set forth [in] **at** N.J.A.C. 16:72-[5.2(a)9]**6.2(a)9** through 18 shall be established by evidence that NJ TRANSIT determines to be clear and convincing in nature.

6. Debarment for the cause set forth [in] **at** N.J.A.C. 16:72-[5.2(a)13]**6.2(a)13** shall be proper, provided that one of the causes set forth [in] **at** N.J.A.C. 16:72-[5.2(a)1]**6.2(a)1** through 18 was the basis for debarment by the original debarring agency. Such debarment may be based entirely on the record of facts obtained by the original debarring agency, or upon a combination of such facts and additional facts.

16:72-[5.4]**6.4** (No change in text.)

16:72-[5.5]**6.5** Causes for suspension of a person(s)

In the public interest, NJ TRANSIT shall suspend a person for any cause specified [in] **at** N.J.A.C. 16:72-[5.2]**6.2** or upon adequate evidence that such cause exists.

16:72-[5.6]**6.6** Conditions for suspension of a person(s)

(a) The following conditions concerning suspension are to be adhered to:

1. Suspension shall be imposed only upon approval of the [Executive Director and upon approval of the Attorney General] **President and CEO**, except as otherwise provided by law.

2. The existence of any cause for suspension shall not require that a suspension be imposed, and a decision to suspend shall be made at the discretion of the [Executive Director and of the Attorney General] **President and CEO**, and shall be rendered in the best interest of NJ TRANSIT **or in the public interest**.

3.-4. (No change.)

5. Reasonable suspicion of the existence of a cause described [in] **at** N.J.A.C. 16:72-[5.2(a)1]**6.2(a)1** through 8 may be established by the rendering of a final judgment or conviction by a court or administrative agency of competent jurisdiction, by grand jury indictment, or by evidence that such violations of civil or criminal law did in fact occur.

6. A suspension invoked by another agency for any of the causes described [in] **at** N.J.A.C. 16:72-[5.2]**6.2** may be the basis for the imposition of a concurrent suspension by NJ TRANSIT, which may impose such suspension without the approval of the [Attorney General] **President and CEO**.

16:72-[5.7]**6.7** Procedures, period of suspension, and scope of suspension affecting the suspension of a person(s)

(a) The following provisions regarding procedures, period of suspension, and scope of suspension shall be adhered to by NJ TRANSIT.

1. NJ TRANSIT may suspend a person or his or her affiliates, provided that within 10 days after the effective date of the suspension, NJ TRANSIT provides such party with a written notice stating that a suspension has been imposed and its effective date; setting forth the reasons for the suspension [to the extent that the Attorney General determines that such reasons may be properly disclosed]; stating that the suspension is for a temporary period**,** pending the completion of an investigation and such legal proceedings as may ensue; and indicating that, if such legal proceedings are not commenced or the suspension removed within 60 days of the date of such notice, the party will be given either a statement of the reasons for the suspension and an opportunity for an informal hearing if the person requests, or a statement declining to give such reasons and setting forth NJ TRANSIT's position regarding the continuation of the suspension. Where a suspension by another agency has been the basis for suspension by NJ TRANSIT, the latter shall note that fact as a reason for its suspension.

2.-3. (No change.)

16:72-[5.8]**6.8** (No change in text.)

16:72-[5.9]**6.9** Extent of debarment, suspension, or disqualification

The exclusion from NJ TRANSIT contracting by virtue of debarment, suspension, or disqualification shall extend to all contracting and subcontracting within the control or jurisdiction of NJ TRANSIT, including any contracts that utilize State funds. When it is determined by the [Executive Director] **President and CEO** to be essential to the public interest, an exception from total exclusion may be made with respect to a particular NJ TRANSIT contract. [A copy of said exception shall be filed with the Attorney General.]

Recodify existing N.J.A.C. 16:72-5.10, 5.11, and 5.12 as **6.10, 6.11, and 6.12** (No change in text.)

SUBCHAPTER [6.] **7.** COMPLAINTS

16:72-[6.1]**7.1** Purpose and scope

The purpose of this subchapter is to set forth the procedure for NJ TRANSIT contract users to file complaints related to contracts arising as a result of procurements conducted [under] **pursuant to** the provisions [of] **at** N.J.S.A. 27:25-11 et seq.**, and this chapter.** If this complaint process is not used, NJ TRANSIT does not waive any of its rights or remedies available at law or in equity.

Recodify existing N.J.A.C. 16:72-6.2, 6.3, and 6.4 as **16:72-7.2, 7.3, and 7.4** (No change in text.)

16:72-[6.5]**7.5** Resolution of complaints

(a) (No change.)

(b) At the discretion of the Chief Procurement Officer, the using department and/or respondent may be required to make an in-person**, virtual, or telephonic** presentation, which may include an opportunity to submit additional documentation relevant to the issues set forth in the original complaint.

(c)-(e) (No change.)

Recodify existing N.J.A.C. 16:72-6.6 and 6.7 as **16:72-7.6 and 7.7** (No change in text.)

16:72-[6.8]**7.8** Effect of contractor non-compliance with contract provisions

(a) (No change.)

(b) The Chief Procurement Officer may, upon continued or willful failure to perform, suspend or debar the contractor subject to the debarment, suspension, and disqualification procedures set forth [in] **at** N.J.A.C. 16:72-[5]**6**.

Recodify existing N.J.A.C. 16:72-6.9 and 6.10 as **16:72-7.9 and 7.10** (No change in text.)

EXHIBIT B

TRANSPORTATION

NEW JERSEY TRANSIT CORPORATION

Procurement Policies and Procedures

Notice of Readoption with Amendments: N.J.A.C. 16:72

Proposed: August 4, 2025, at 57 N.J.R. 1679(a)

Adopted: ____, 2025, by New Jersey Transit Corporation, Kris Kolluri, President and Chief Executive Officer.

Filed: ___, 2025 as R. 2025 __, **without change**.

Authority: N.J.S.A. 2A:44 143; N.J.S.A. 27:25-5(e); and N.J.S.A. 27:25-11.

Effective Date:

Expiration Date:

Summary of Public Comments and Agency Responses:

The comment period officially ended on October 3, 2025. There were no comments received during the comment period.

Federal Standards Statement:

A Federal standards analysis is not required because the rules proposed for readoption with amendments are governed by N.J.S.A. 27:25-11 and are not subject to any Federal procurement regulations or standards. To the extent that a complaint is filed against a Disadvantaged Business Enterprise in a Federally funded procurement, an alternate procedure consistent with Federal regulations is required.

Summary of Agency-Initiated Changes:

EXHIBIT B

No substantial changes have been made to the version proposed in the NJ Register on August 4, 2025. Non-Substantial changes include spelling, punctuation, technical and grammatical changes, language that clarifies the rule proposal, and changes that do not significantly enlarge or curtail the scope of the proposal in accordance with N.J.A.C. 1:30-6.3(f). Specifically, N.J.A.C.16:72-1.5(b)2 has been amended in the final rule to increase the maximum purchase amount from $250,000 in the proposed rule to $304,000 in the final rule, pursuant to N.J.S.A. 52:34-7, as published in a memo dated July 1, 2025, from State Treasurer Elizabeth Maher Muoio regarding Adjustments to Public Bidding Thresholds. N.J.A.C.16:72-1.5(b)2 has also been amended in the final rule to clarify language noting that a good faith effort shall be made to obtain up to three quotes. N.J.A.C.16:72-1.5(b)4 has been amended for clarity in the final rule to remove the word “acquisitions” and include the word “procurements.” N.J.A.C.16:72-5.2 Definitions has been amended to clarify that the definition of “Compensation” includes “and related design services.”

Full text of the adoption follows:

EXECUTIVE SESSION AUTHORIZATION

BE IT HEREBY RESOLVED pursuant to N.J.S.A. 10:4-12 and N.J.S.A. 10:4-13 that the Board of Directors of the New Jersey Transit Corporation hold an executive session to discuss personnel matters, contract negotiations, the status of pending and anticipated litigation, and matters falling within the attorney-client privilege, including the Property Acquisition of 525 Martin Luther King Boulevard (525 MLK Blvd), Camden, New Jersey – Part of the Future Glassboro-Camden Line (GCL) Project; and

BE IT FURTHER RESOLVED that it is expected that discussions undertaken at this executive session could be made public at the conclusion of these matters as appropriate.